

ENGLISH **LIVE**

8

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 8

18th January, 2017

Ring Fence RBI

A negative effect of demonetisation has been harm to the central bank's reputation

While one can debate the benefits and ill effects of demonetisation, harm to the RBI's reputation – and therefore a decline in its credibility – belongs indisputably to the negative side of the ledger. So much so that last week the central bank's employees, through their unions, wrote to governor Urjit Patel to protect RBI's autonomy. It is not just unions who are worried. Former governors YV Reddy and Bimal Jalan have also expressed concern.

Such concern stems from the manner in which RBI appears to have gone ahead with the decision to ban high value notes without much discussion, within a day of the government having reportedly 'advised' it to do so, as well as the general veil of opacity over its deliberations. It has, for example, been remarkably silent during the aftermath of demonetisation when it should have been in the driver's seat.



RBI is India's most important regulator. Its job is to not just control inflation but also be the first line of defence against macroeconomic instability. This makes it imperative for both Patel and the Centre to heed warnings.

Advanced countries have independent central banks; such separation of powers between monetary and fiscal authorities is what keeps an economy stable. India needs strong not weak institutions, and RBI should not be treated as a wing of the finance ministry. RBI's evolution and responsibilities are in keeping with an emerging economy. Unlike central banks in developed markets, RBI's functions span an even wider range. Consequently Patel needs to assert himself, and the government too needs to take certain measures to preserve RBI's autonomy.

One way of doing this is to define RBI's role and autonomy by statute. For example, it has been given a measurable target for inflation and independence on how to achieve this, with formal explanations called for if it fails. It should also be mandatory for RBI to be transparent, with deliberations of its central board being placed in the public domain. Simultaneously, the government must take its responsibility seriously by filling vacant positions on RBI's central board. It's imperative to shore up RBI's credibility in the eyes of investors and rating agencies, else vigorous drives by Prime Minister Narendra Modi as well as state governments such as Gujarat to garner investment for development and jobs will be seriously undermined.

←
DISCUSSION ON
18th Jan (today)

Budget 2017: Why do we need an institutional evaluation mechanism?

January 15, 2017, 11:54 PM IST ET Edit in ET Editorials | Economy, Edit Page, India | ET

Successive governments have unveiled flagship programmes and schemes in the annual Budget hoping to win popular support. But a holistic evaluation of outcomes achieved through spending on these schemes has been missing. The government as the largest spending unit – the Centre's budgeted expenditure is about Rs 18 lakh crore – should maximise bang for the buck.

The outcome Budget, launched in 2005-06, was meant to track actual implementation of schemes and fix accountability for lapses. However, ministries cobbled together unwieldy documents that reflected poor understanding of the goal, raising doubts over its efficacy to measure performance and improve service delivery, regrettably. Reportedly, ministries are sending progress reports on programme implementation to the Prime Minister's Office.



We need a proper institutional mechanism to assess flagship schemes to enhance the quality of implementation and outcomes. Take the example of education. Merely spending money or writing rules on primary education will not suffice. Learning outcomes should be better and that, in turn, calls for both empowering and holding teachers to account. A robust institutional mechanism can convert criticism into improvement.

Segregating expenditure as Plan and non-Plan blocks a holistic evaluation of outcomes. So, it is welcome that the government wants to do away with the distinction in the coming Budget.

→
DISCUSSION ON
19th Jan (tomorrow)

THE TIMES OF INDIA
16th January 2017

THE ECONOMIC TIMES
16th January 2017

Ring Fence RBI

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Ring fence RBI

Editorial

THE TIMES OF INDIA

16th January 2017

Ring fence RBI

LIVE

A negative effect of demonetisation has been harm to the central bank's reputation

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- One way of doing this is to define RBI's role and **autonomy** by statute. For example, it has been given a measurable target for inflation and independence on how to achieve this, with formal explanations called for if it fails. It should also be **mandatory** for RBI to be **transparent**, with deliberations of its central board being placed in the **public domain**.
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Ring Fencing

2



1



3



- 1 Insulating an entity from their parent company for risks
- 2 Spending for the intended purpose
- 3 No interference from the executive on day to day functions

Ring Fencing



Ring fence RBI

THE TIMES OF INDIA

16th January 2017



LEARNING SPACE

Transforming Human Lives

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Reputation

PERSON



A.P.J. Abdul Kalam

INSTITUTION



RBI

Reputation

Respect / admiration for someone / something



Credibility



Trust or belief on person /
organisation

Credibility



Ledger



Expenditure

-

Receipts

+

Ledger



Autonomy



भारत निर्वाचन आयोग
Election Commission of India



सत्यमेव जयते
Government of India

Union Public Service
Commission

Right of an organisation to be
independent and govern itself

Autonomy



Ring fence RBI

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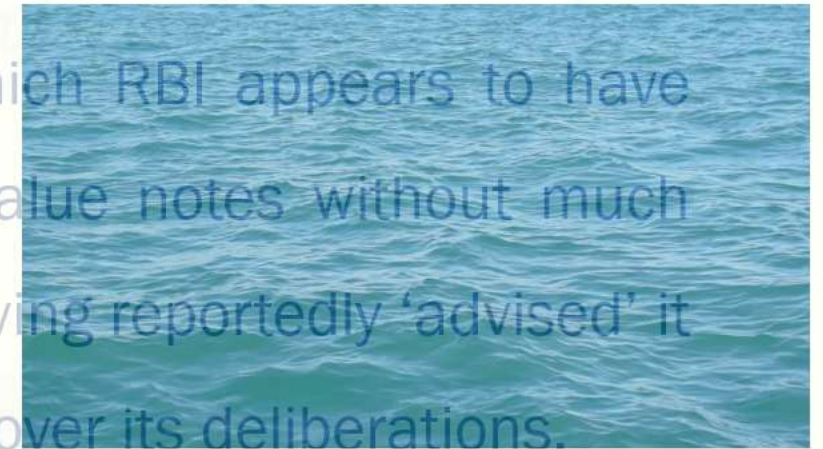


Stems from the fact

THE TIMES OF INDIA

16th January 2017

His fear of water
stems from an
incident during
his childhood



Stems from the fact

To start or develop as a result of something





Veil



Veil

A piece of material wore by women to protect themselves



Opaque



Opaque

Prevent light from travelling through

Transparent



Transparent

Can see through it very clearly



Ring fence RBI

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...Transforming Human Lives

It has, for example, been remarkably silent during the **aftermath** of demonetisation when it should have been **in the driver's seat**. RBI is India's most important regulator.



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Aftermath



Aftermath

The period that follows an unpleasant event / accident and the effect that it causes



In the driver's seat



In the driver's seat

In control, in charge of things



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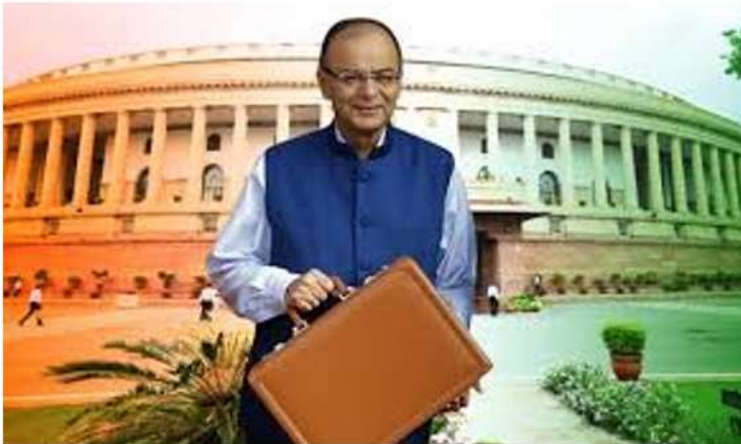


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Imperative



It is **imperative** to move on to outcome based budget



After the victory of Donald Trump, it is **imperative** for our country to devise new ICT policy

Imperative

Necessary / Urgent / Extremely Important



Heed

Frequent accidents of MIG 21 indicate that Govt. is failed to **heed** the warnings about lack of safety in MIG 21



Heed

To pay attention to something, especially advice or warning



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Consequently

I spent lavishly during the first week and consequently I left with little money during the month end



Consequently

As a result



Assert

The CEO, must **assert** himself



Assert

To behave in a way that expresses your confidence, importance, power that earns you respect from others



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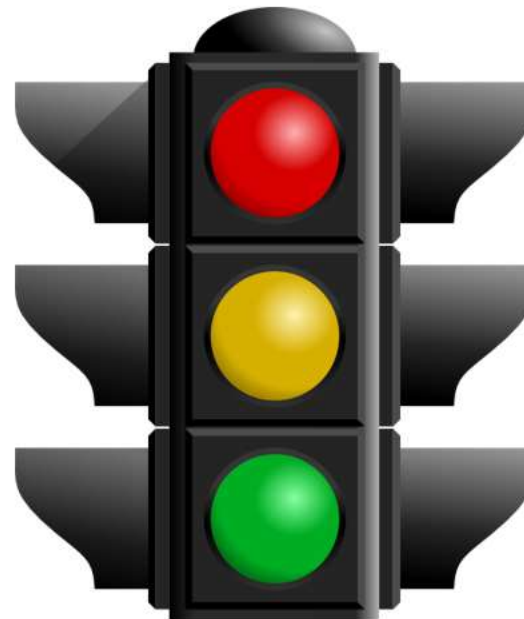
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Mandatory

It is **mandatory** to obey
traffic signals



Mandatory

Must be done, because of law of the land



Transparent

Most of the Govt.
organisations are not
transparent in their day to
day functioning



Transparent

Businesses in open way without secrecy, so that people can
trust that they are fair and honest



Public Domain



Public Domain

It is available to the public



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Simultaneously



Simultaneously

Happening or being done at exactly the same time



Vigorous

Govt. is **vigorously** pursuing the process of shift to digital transactions



Vigorous

Forceful / Energetic



Garner



Garner

To collect something, normally after much difficulty



Undermining

1 The attitude of CEO
undermines the confidence
of employees

2 Criticism **undermines**
confidence

2



Undermining

To make someone less confident / less powerful / less likely to
succeed



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